

RUNNING A TIGHT SHIP

H.M. Bangur has kept a close watch on costs to make Shree Cement—which was on the verge of bankruptcy 25 years ago—one of the largest players in the sector

By **Krishna Gopalan**

► **H.M. BANGUR IS** a trifle embarrassed when you tell him very few in the cement industry can match his cost structure. “Yes, I think we do a good job. To hear that is flattering but also truthful,” says the MD of Shree Cement.

84 | What is not commonly known is that the company was on the verge of bankruptcy 25 years ago. Shree Cement today has an installed capacity of 46.4 million tonnes, with a road map to get to 80 million tonnes in the next 4-5 years. Reflecting on the tough times, Bangur—a chemical engineering graduate from IIT Bombay—says there was no understanding of cost control at that point. “We thought setting up a plant was sufficient and nothing else needed to be done. It was that crisis that became an opportunity and made us a hero, else we were a zero.”

The management, during that difficult period, decided to take a hard look at the cost structure. What transpired was not just a huge move strategically but set a tem-

plate for many others in the industry to follow. There were two key areas—coal and electricity—that were the monopoly of the government. Bangur says it was important to break this structure. First off was coal. “We decided to import coal from Indonesia. The quality was better and consistent plus at a reduced cost,” he says. That’s not all. The bigger story lay in pet coke and the decision to replace a large part of coal with that. India was not a market for pet coke and Bangur decided to send four workers to Turkey to learn the process. “They were not even engineers... but I knew they could pull it off,” he says. Not only did they manage to do it, it also opened Bangur’s eyes to his firm belief now that hard work always wins over talent. Between 2000 and 2010, Shree Cement, on an average, saved 50-60 per cent on energy costs thanks to going with pet coke.

Then, there was the electricity bit. State electricity boards sold power at ₹5 per unit and Shree Cement thought having a captive power plant could be the answer. “We disconnected our power connection in Rajasthan. Soon, our cost was at ₹2 and that saving went straight to the bottom line,” points out Bangur. The company’s approach has found favour among those who track it. According to Rashesh Shah, AVP, ICICI Securities, other factors such as close proximity to high grade limestone have ensured that Shree Cement is one of the lowest in terms of costs. “80-85 per cent of the consumption of power is from its captive plants including usage of waste heat recovery power and renewable plants. The company has total power generation capacity of 752 MW including 211 MW of waste heat recovery. It gives them flexibility to switch to a grid to shut down a plant based on tariff and the ability to operate with multiple fuels results in a dynamic scenario,” he says. Bangur adds that 50 per cent of his power is “free of cost” due to the various initiatives taken. Another area it took

Cement

H.M. Bangur

Managing Director, Shree Cement

Revenue from operations	FY21	12,588.39
	Q3 FY22	4,464.35
Profit before tax	FY21	3,025.72
	Q3 FY22	628.42
Profit after tax	FY21	2,311.93
	Q3 FY22	491.99
	RoE (%)	16.40
	Market Cap	89,726.15

● Standalone results; all figures in ₹ crore except RoE

● M-cap as of February 7

● Data Source: BSE, ACE Equity